

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TPG PRESSURE, INC., *Complainant*

v.

OMNI LOGISTICS LLC AND EPIC FREIGHT SOLUTIONS LLC,
Respondents.

DOCKET NO. 22-31

Served: June 10, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER GRANTING RECONSIDERATION AND GRANTING LEAVE TO FILE SUR-REPLY

This order grants Complainant's petition for reconsideration ("Reconsideration Petition") of the portion of the May 15, 2024, order requiring the parties to supplement the record ("Order to Supplement the Record"), which granted Respondents' motion for leave to file a sur-reply and to supplement the record. Upon reconsideration, this order grants Respondents' motion for leave to file a sur-reply and to supplement the record ("Sur-Reply Motion") and permits Complainant to file a response by July 3, 2024.

On April 30, 2024, Respondents Omni Logistics LLC and Epic Freight Solutions LLC filed a motion requesting leave to file a sur-reply with the proposed sur-reply attached. On May 7, 2024, Complainant TPG Pressure, Inc. ("TPG") filed their response in opposition to Respondents' motion for leave to file sur-reply and supplement the record ("Sur-Reply Opposition"), which was not received by the Commission.

On May 15, 2024, the order to supplement the record was issued, stating that the "time for TPG to object to the sur-reply has expired without any objection being received" and granting the sur-reply motion. Order to Supplement the Record at 3.

On May 20, 2024, TPG filed a petition for reconsideration, or, alternatively, motion for relief from order. On May 28, 2024, Respondents filed an opposition to TPG's petition for reconsideration ("Reconsideration Opposition"). The reconsideration petition will be reviewed first, to determine whether it is appropriate to reconsider the sur-reply motion.

Petition for Reconsideration

TPG seeks reconsideration because its objections to the sur-reply opposition were not received or considered. TPG asserts that reconsideration is appropriate under its right to reply in Commission Rule 71, clerical error under Federal Rule of Civil Procedure 60(a), and substantive error in material fact under Commission Rule 261. Reconsideration Petition at 1-2.

Respondents oppose the reconsideration petition, asserting that the Presiding Officer should not reconsider the order because the order reached the correct result and that TPG's filing of the sur-reply opposition did not comply with the initial order or Commission rules. Reconsideration Opposition at 1-4.

The Reconsideration Petition attaches a Declaration from TPG's counsel stating that the sur-reply opposition was emailed on May 7, 2024, and attaching a copy of the sent email. Respondents admit that "TPG correctly states that its counsel submitted the Sur-Reply Opposition via email to Judges@FMC.gov with a copy to secretary@FMC.gov." Reconsideration Opposition at 4. This email and the attached sur-reply opposition were not received at either the judges@fmc.gov email or the secretary@fmc.gov email, despite being filed in the customary manner. The Office of the Secretary requested that the Commission's IT department investigate and that review is ongoing. While rare, this is not the only instance of a party sending an email that was not received by the Commission. *See Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, Docket No. 22-28, 2024 WL 1741944, at *2 n.2 (ALJ April 19, 2024).

TPG's request for reconsideration is granted. TPG properly and timely submitted its opposition to the sur-reply and that opposition was not received or considered prior to issuing the order to supplement the record. The motion seeking leave to file the sur-reply and supplement the record will be reviewed with full consideration of TPG's arguments.

Leave to file Sur-Reply and Supplement the Record

On April 30, 2024, Respondents filed a motion requesting leave to file a sur-reply with the proposed sur-reply attached. The sur-reply refers to carrier invoices or payments and states that "Respondents should be permitted to supplement the record to add these documents to Respondents' Appendix." Sur-Reply Motion at 1. The 689-pages of supplemental documents were not attached to the filing but were subsequently submitted on May 30, 2024.

Respondents request leave to file the sur-reply, arguing that TPG submitted new evidence and raised new arguments about certain evidence that TPG did not raise in its opening brief; TPG quietly advances a new theory as to its damages that was not set forth in its opening brief; and TPG continues to claim damages for amounts that Respondents charged but which TPG has not paid. Sur-Reply Motion at 3-8. Respondents also request leave to supplement the record, arguing that TPG's revised damages chart omits demurrage invoices and proofs of payment that were produced in this litigation. Sur-Reply Motion at 8-10.

TPG contends that Respondents failed to meet and confer with TPG; Respondents' sur-reply should be stricken from the record; the sur-reply is unwarranted because no new evidence or argument was introduced in TPG's reply; and Respondents fail to meet the standard for supplementing the record. Sur-Reply Opposition at 3-9.

If the parties had conferred as required by Rule 71, and the undersigned was advised that the motion was contested, then the need for the petition for reconsideration may have been avoided. *See* 46 C.F.R. § 502.71(a). Nonetheless, that is not reason to deny the sur-reply motion under these unusual circumstances. Moreover, parties typically submit their sur-replies with the motion seeking leave to submit the sur-reply. This practice is efficient and the request to strike the sur-reply is denied.

TPG asserts that in determining “whether to allow a sur-reply, a court should consider (A) whether the reply actually raises arguments or issues for the first time, (B) whether the proposed sur-reply would aid resolution, and (C) whether prejudice would result from leave being granted.” *Seafair USA LLC v. Sterling Container Line Ltd.*, Docket No. 22-34, 2023 WL 6811143, at *1 (FMC Oct. 10, 2023) (citing *Glass v. Lahood*, 786 F. Supp. 2d 189, 230-31 (D.D.C. 2011)). Under this standard, the sur-reply should be admitted.

TPG submitted revised shipment and damages charts as well as declarations about these charts with its reply. TPG asserts that “the title of the Damages Chart is self-explanatory.” Sur-Reply Opposition at 5. However, TPG’s opening brief does not mention the damages chart but rather states, as the entire first paragraph in section IV, labeled “TPG’s Damages” that: “The attached Shipping Chart PFF ¶ 144 sets forth charges invoiced by Respondents that are claimed as damages here. These charges include demurrage, storage, and chassis charges.” Complainant’s Brief at 30. Therefore, the role of the damages chart was at a minimum unclear prior to the reply. In addition, that the revised charts excluded rows rather than adding rows does not diminish Respondents’ right to contest the information in the revised charts. Thus, the reply raised new issues and included new evidence in the form of revisions to the shipment and damages charts.

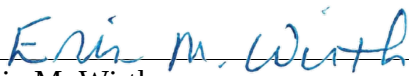
The reply is helpful in explaining the role and foundation for the shipment and damages charts. Similarly, the proposed sur-reply is helpful because it provides Respondents’ arguments regarding the revised version of the shipment and damages charts. Therefore, the sur-reply aids in the resolution of this dispute.

TPG argues that it would be prejudiced if leave were granted for the sur-reply and states that it should have an opportunity to respond. Sur-Reply Opposition at 8-9. The request to respond is reasonable and will be granted. Therefore, under the standard proposed by TPG, the sur-reply is admitted.

TPG further asserts that Respondents should not be allowed to supplement the record and that “these documents should have been provided to TPG before this litigation even took place.” Sur-reply Opposition at 9. The Commission has permitted a party to submit documents supporting their claims after an appeal of the initial decision. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Docket No. 1947(I), 2016 WL 11942284, at *10 (FMC Oct. 7, 2016). It is more efficient to have all of the relevant documents submitted at this point to ensure a complete record before the initial decision is issued. Therefore, the supplemental exhibits will be admitted. However, TPG will have a chance to respond to the supplemental exhibits.

Therefore, the proposed sur-reply attached to the sur-reply motion as exhibit A and Respondents’ supplemental exhibits submitted on May 30, 2024 are accepted into the record. TPG may file a response to Respondents’ sur-reply and supplemental exhibits by July 3, 2024.

Accordingly, it is hereby **ORDERED** that TPG’s petition for reconsideration be **GRANTED**. Upon reconsideration, it is hereby **ORDERED** that Respondents’ motion for leave to file a sur-reply and to supplement the record be **GRANTED**. TPG may file a response to the sur-reply and supplemental exhibits by July 3, 2024.


Erin M. Wirth
Chief Administrative Law Judge